

continued to bring in revenue, but so did a graduated national income tax, the first in American history.

These financial measures, overseen by men who understood money, ensured that the capital existed not only to fund the war effort, but also to fuel a boom that assured American prosperity for the rest of the 19th century. Overall, the Northern economy grew in all areas as a result of the war—agriculture, mining, transportation networks, the service sector, and manufacturing.



Farewell to home and family

William D. T. Travis, staff artist with the Union Army of the Potomac, painted this glamorized depiction of an officer outside his mansion bidding farewell to his family as he leaves to fight for the North.

WAR BONDS Government-issued bonds (securities) used to finance a war. Members of the public are encouraged to buy them as a gesture of support.

Southern inflation

The situation in the Confederacy was starkly different. Because the nation was starting from scratch, there was no initial balance of credit and few gold reserves with which to fund the war effort. Hence, in March 1861, Secretary of the Treasury Christopher Memminger asked the Confederate Congress to authorize the printing of a million dollars in paper notes. These bills were backed